

Standard 7.1 — Organizational Independence

1. Standards & Guidance

Requirements

- The chief audit executive (CAE) must confirm the internal audit function's organizational independence to the board at least annually. This confirmation includes incidents affecting independence and the safeguards or actions taken.
- Reporting relationships and organizational positioning, as determined by the board, must be documented in the internal audit charter.
- The CAE must discuss existing or proposed responsibilities that could impair independence, in fact or appearance, with the board and senior management and advise on appropriate safeguards.
- When the CAE holds ongoing responsibilities outside internal auditing, the charter must document those responsibilities, the nature of the work, and applicable safeguards. Alternative assurance arrangements must be established for those areas.
- For temporary responsibilities outside internal auditing, the CAE must seek assurance from an independent third party during the assignment and for the subsequent **12 months**, and establish a plan to transfer those responsibilities to management.
- Where the governance structure does not support organizational independence, the CAE must document the limiting characteristics and possible safeguards.

Essential Conditions — Board

- Establish a direct reporting relationship with the CAE and internal audit function.
- Authorize the appointment and removal of the CAE.
- Provide input into the CAE's performance evaluation and remuneration.
- Allow direct discussions of significant or sensitive matters, including meetings without senior management present.
- Position the CAE at a level that supports authority, escalation, and freedom from management interference.
- Recognize potential independence impairments when approving responsibilities outside internal auditing.
- Work with senior management and the CAE to establish safeguards.
- Support freedom from interference in determining scope, performing engagements, and communicating results.

Essential Conditions — Senior Management

- Position internal audit appropriately, consistent with the board's direction.
- Recognize the CAE's direct reporting relationship with the board.
- Support safeguards addressing actual or perceived independence impairments.
- Provide input to the board on the CAE's appointment and removal.
- Obtain board input on the CAE's performance evaluation and remuneration.

Considerations for Implementation

Internal audit's functional accountability to the board supports organizational independence. Administrative reporting to the chief executive officer or equivalent is a leading practice; other arrangements require consideration of the circumstances and safeguards.

Potential impairments include restricted access, delayed information, inadequate resources, pressure to alter findings, interference with audit scope, and restrictions on direct board communication.

Responsibilities outside internal auditing can create self-review threats when the CAE oversees an activity that internal audit subsequently evaluates. Safeguards should reflect whether those responsibilities are temporary or ongoing.

Perceived impairment may continue beyond the 12-month period following a temporary assignment. The CAE should discuss whether safeguards need to remain in place longer.

If an impairment discovered after an engagement affects the reliability of its results, the CAE should discuss the concern with the appropriate parties and determine corrective action.

Examples of Evidence of Conformance

- An approved charter documenting reporting relationships and organizational positioning.
- Records of annual independence confirmations.
- Board communications documenting impairments and safeguards.
- Documented non-audit responsibilities and alternative assurance arrangements.
- Transition plans for temporary responsibilities.
- Procedures for identifying, reporting, and addressing impairments.
- Evidence of board authorization of the CAE's appointment or removal.

2. Audit Focus Areas

- Functional and administrative reporting relationships.
- Direct access to the board and private meeting opportunities.
- Board involvement in CAE appointment, removal, evaluation, and remuneration.
- Interference with scope, resources, access, or reporting.
- Responsibilities outside internal auditing.
- Alternative assurance and transition arrangements.
- Annual independence confirmation and impairment disclosures.

3. Risks

Risk	Indicative rating
Management influences audit scope or suppresses significant findings.	High
The CAE oversees activities that internal audit evaluates without adequate safeguards.	High
Restrictions on information, personnel, or resources prevent fulfillment of the mandate.	High
Independence impairments are not disclosed to the board.	High
Temporary non-audit responsibilities continue without transition or independent assurance.	High

4. Controls — Suggested

Control	Type
Board-approved charter defining reporting relationships, authority, and access rights.	Preventive
Annual independence confirmation supported by documented assessment.	Detective
Regular private meetings between the board and CAE.	Preventive / Detective
Register of independence impairments, assigned actions, and escalation status.	Detective / Corrective
Board-reviewed safeguards and alternative assurance arrangements for non-audit roles.	Preventive
Documented transition plan and independent third-party assurance for temporary assignments and the subsequent 12 months.	Preventive / Corrective

5. Audit Procedures — Suggested

Procedure	Evidence
Compare the charter, organization chart, and actual reporting practices.	Approved charter, organization chart, reporting records
Verify that independence was confirmed to the board within the annual cycle.	Board papers, minutes, independence confirmation
Assess whether the CAE has direct and private access to the board.	Meeting records, agendas, interviews
Examine selected engagements for restrictions or pressure affecting scope, access, or findings.	Scope changes, correspondence, report revisions

Procedure	Evidence
Identify non-audit responsibilities and evaluate safeguards and alternative assurance.	Role descriptions, charter provisions, assurance reports
For temporary assignments, verify independent assurance coverage and the transition plan.	Assignment dates, third-party engagement terms, transition records
Review board involvement in CAE appointment, removal, evaluation, and remuneration.	Board decisions, recruitment and appraisal records

6. Red Flags

- Management approval is required before the CAE can contact the board.
- Significant findings are removed without a documented evidential basis.
- Repeated delays prevent access to records or personnel.
- The CAE retains operational responsibilities without alternative assurance.
- Annual independence confirmation is absent or excludes known concerns.
- Temporary assignments repeatedly extend without a transition plan.
- Resource restrictions prevent coverage of significant risks without board visibility.

7. Common Findings — Illustrative Examples

- The charter does not reflect actual reporting relationships.
- Annual independence confirmation is not documented.
- Non-audit responsibilities lack documented safeguards.
- Independent third-party assurance does not cover the required period following a temporary assignment.
- Access restrictions are not escalated promptly.
- Board involvement in CAE appointment or removal is not evidenced.

8. Professional References

- Standard 7.1 — Organizational Independence.
 - Standard 6.2 — Internal Audit Charter.
 - Standard 2.3 — Disclosing Impairments to Objectivity.
 - Standard 11.3 — Communicating Results.
 - Standard 11.4 — Errors and Omissions.
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Standard 7.2 — Chief Audit Executive Qualifications

1. Standards & Guidance

Requirements

- The CAE must help the board understand the qualifications and competencies necessary to manage the internal audit function.
- The CAE facilitates this understanding by providing information and examples of common and leading qualifications and competencies.
- The CAE must maintain and enhance the qualifications and competencies necessary to fulfill the roles and responsibilities expected by the board.

Essential Conditions — Board

- Review the requirements for managing the internal audit function described in Domain IV.
- Approve the CAE's roles and responsibilities and identify the qualifications, experience, and competencies needed.
- Engage with senior management to appoint a suitably qualified and competent CAE who can manage the function effectively and support quality internal audit services.

Essential Conditions — Senior Management

- Work with the board to determine the required qualifications, experience, and competencies.
- Enable the CAE's appointment, development, and remuneration through the organization's human resources processes.

Considerations for Implementation

Expected competencies should reflect the internal audit mandate, organizational complexity, specific needs, risk profile, industry, and jurisdiction.

A job description typically documents desired qualifications and competencies, which may include:

- Comprehensive knowledge of the Global Internal Audit Standards and leading internal audit practices.
- Experience establishing and managing an effective internal audit function.
- Experience recruiting, training, and developing internal auditors.
- A Certified Internal Auditor designation or other relevant professional education, certifications, and credentials.
- Leadership experience.
- Industry or sector experience.

These are examples of desired qualifications. **The standard does not prescribe the CIA designation as a universal requirement.**

A CAE may bring other relevant expertise, supplemented by the competencies of the internal audit team. Where the CAE enters from another role or sector, collaboration with experienced colleagues and professional networking can support development.

The board should encourage continuing professional education and other development opportunities.

Succession planning should identify potential internal or external replacements, align with the organization's broader succession arrangements, and be shared with the board and senior management.

Examples of Evidence of Conformance

- Documented board approval of the CAE's job description or appointment, or other evidence that the board evaluated the necessary qualifications and competencies.
- Professional education and development plans, together with completion records.
- Records of succession-planning discussions involving the board, senior management, or human resources.

2. Audit Focus Areas

- Board understanding of the CAE's competency requirements.
- Alignment of qualifications with the mandate and organizational risks.
- Role definition and appointment criteria.
- Assessment of qualifications, experience, and leadership capability.
- Continuing professional development.
- Management of competency gaps.
- Succession planning and leadership continuity.

3. Risks

Risk	Indicative rating
Appointment criteria do not reflect the responsibilities of the CAE role.	High
Competency gaps weaken audit planning, supervision, or communication.	High
The board lacks sufficient information to assess candidate suitability.	High
Professional development does not address changing responsibilities or risks.	Medium
A CAE vacancy disrupts leadership and delivery of internal audit services.	Medium–High

4. Controls — Suggested

Control	Type
Documented competency requirements aligned with the mandate and organizational risk profile.	Preventive
Defined recruitment and assessment criteria developed with board and senior management involvement.	Preventive
Verification of relevant qualifications and experience during appointment.	Preventive
Periodic competency assessment and targeted development plan.	Detective / Corrective
Tracking of completed professional development and identified gaps.	Detective
Succession arrangements identifying potential replacements and interim leadership options.	Preventive

5. Audit Procedures — Suggested

Procedure	Evidence
Assess whether the CAE role description reflects the mandate and management responsibilities.	Job description, charter, responsibility statements
Verify board participation in determining competencies and assessing appointment suitability.	Board minutes, selection criteria, interview records
Compare the CAE's qualifications and experience with documented expectations.	Qualification records, employment history, competency assessment
Evaluate how identified competency gaps are addressed.	Development plans, team capability assessments, specialist support arrangements
Review professional development plans and evidence of completion.	Training records, course completion evidence, development reviews
Examine succession-planning arrangements and discussions with relevant parties.	Succession plans, board and HR meeting records

6. Red Flags

- The job description is generic or inconsistent with the actual role.
- Selection focuses on a credential without assessing leadership or relevant experience.
- The board has no documented involvement in defining required competencies.
- Known competency gaps have no development or support arrangements.
- Development activities are unrelated to the CAE's responsibilities.
- No potential replacement or interim leadership arrangement has been considered.

7. Common Findings — Illustrative Examples

- Required competencies are not documented.
- Appointment records do not demonstrate assessment against agreed criteria.
- Development plans do not address identified gaps.
- Training completion is not tracked.
- Reliance on team expertise is not supported by an assessment of available capabilities.
- Succession planning has not been discussed with the board, senior management, or human resources.

8. Professional References

- Standard 7.2 — Chief Audit Executive Qualifications.
- Domain IV — Managing the Internal Audit Function.
- Principle 3 — Demonstrate Competency.
- Standard 3.1 — Competency.
- Standard 3.2 — Continuing Professional Development.